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PLU 3242

香港中學文憑考試

Hong Kong Diploma of Secondary Education Examination

Economics

2012

**Examination Report
and Question Papers**
(with marking schemes)



香港考試及評核局
Hong Kong
Examinations and
Assessment Authority

ECONOMICS PAPER 1

8.30 am – 9.30 am (1 hour)

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong marks can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the
end of the examination session

There are 40 questions in this paper. Choose the **BEST** answer for each question.

1. Which of the following statements are positive statements?
 - (1) More workers will be employed on a part-time basis after the imposition of a minimum wage.
 - (2) Less low skilled workers will be unemployed after the imposition of a minimum wage.
 - (3) Meal times should be counted as working time in the calculation of a minimum wage.
 - (4) The imposition of a minimum wage widens the income gap between the rich and the poor.
 - A. (2) and (3) only
 - B. (1) and (4) only
 - C. (1), (2) and (3) only
 - D. (1), (2) and (4) only

2. Mr Kwok plans to purchase a new racing car from a German automobile manufacturer and drive the car in Hong Kong. In which of the following situations will the cost of purchasing the racing car increase?
 - A. The first registration fee increases.
 - B. The price of gasoline increases.
 - C. The Euro depreciates against the Hong Kong dollar.
 - D. The racing car performs poorly.

3. Which of the following statements about interest is correct?
 - A. People will reduce current consumption when the interest rate drops.
 - B. The interest rate will be zero if there is no inflation.
 - C. Interest does not exist in a planned economy.
 - D. Interest still exists without money.

4. A parking lot in the government headquarter is reserved for government officials. The parking lot is _____ because _____.
 - A. a private good ... it is for private use only
 - B. a private good ... concurrent consumption is not possible
 - C. a public good ... the government owns it
 - D. a public good ... no one has an exclusive right to use

5. The occupational mobility of labour in an economy will increase when
 - A. the cross-border railway network is improved.
 - B. licences are required for more types of job in the labour market.
 - C. tax allowances are provided for continuing education.
 - D. there is a greater degree of specialisation in production.

6. Which of the following policies will result in an increase in the labour force of Hong Kong?
- extension of free education from 9 years to 12 years
 - an increase in the minimum capital requirement of the Capital Investment Entrant Scheme (資本投資者入境計劃)
 - an increase in the immigration scheme quota for talented persons from the mainland
 - introduction of maximum working hours
7. Some property agencies pay their employees a basic salary plus commission because
- it can increase the working incentive of the employees.
 - it can transfer part of the business risk to the employees.
 - the cost of calculating wages is lower.
- (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only
 - (1), (2) and (3)

8.

	Firm A	Firm B
Number of owners	2	10
Transfer of ownership	Needs the consent of other owners	Needs the consent of other owners
Continuity	Continues to exist when one of the owners goes bankrupt	Will be dissolved when one of the owners goes bankrupt

According to the above table, which of the following descriptions of Firm A and Firm B is correct?

- Firm A is at a greater risk of being taken over by another firm than Firm B.
 - Firm A is a legal entity while Firm B is not.
 - Both firms are subject to the same profits tax rate.
 - Firm A is required to disclose its financial status to the public while Firm B is not.
9. Refer to the following table showing the production costs of a price-taking firm.

Total output (units)	2	3	4	5	6
Marginal cost (\$)	4	6	8	10	12
Average variable cost (\$)	3	4	5	6	7
Fixed cost (\$)	1	1	1	1	1

If the product price is \$6,

- the firm will produce 5 units of output to maximize its profit.
- the maximum profit the firm can make is \$5.
- the average variable cost is \$5 when the firm maximizes its profit.
- the minimum total cost of the firm is \$13.

10. Refer to the table below.

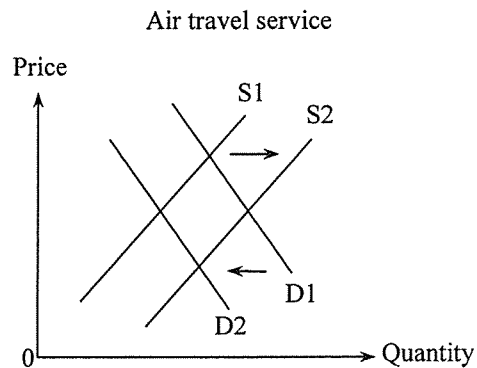
	Factory A	Factory B
Number of workers employed	60	10
Total number of working hours	2 000	5 000
Total output (units)	12 000	20 000

Which of the following is a possible reason for the difference between the labour productivity of Factory A and Factory B?

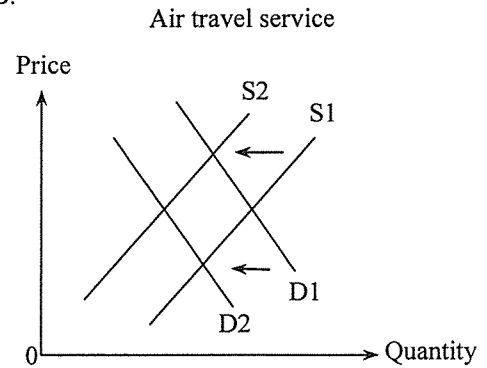
- A. Factory B provides more training for its workers.
 - B. More machines are used in Factory B.
 - C. The working environment in Factory A is poorer.
 - D. Factory A pays its workers at piece rate while Factory B pays at time rate.
11. Michelle is a jewelry lover and she says, "I will spend all my monthly salary on jewelry no matter what the price is." From this we can conclude that her demand for jewelry is
- A. elastic.
 - B. inelastic.
 - C. unitarily elastic.
 - D. perfectly inelastic.
12. Owing to continuous bad weather, the quantity transacted of local vegetables falls by 40% while the price rises by 13%. Which of the following statements are correct?
- (1) The quantity demanded of local vegetables falls.
 - (2) The total expenditure on local vegetables rises.
 - (3) The demand for imported vegetables rises.
 - (4) The total expenditure on imported vegetables may rise or fall depending on the elasticity of demand.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

13. A train accident seriously affects the confidence of travellers using a high-speed electric train service. At the same time, the airlines are facing the problem of rising fuel prices. Which of the following diagrams could represent a result of the above events?

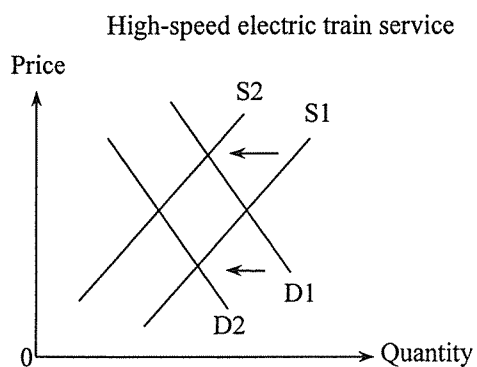
A.



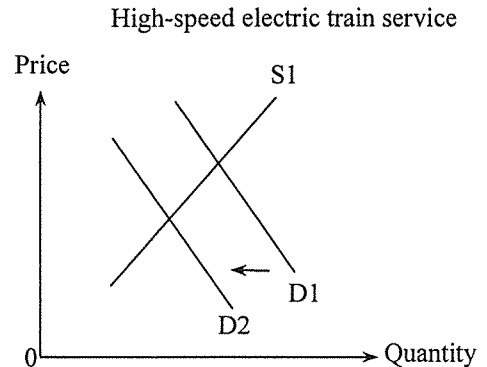
B.



C.



D.

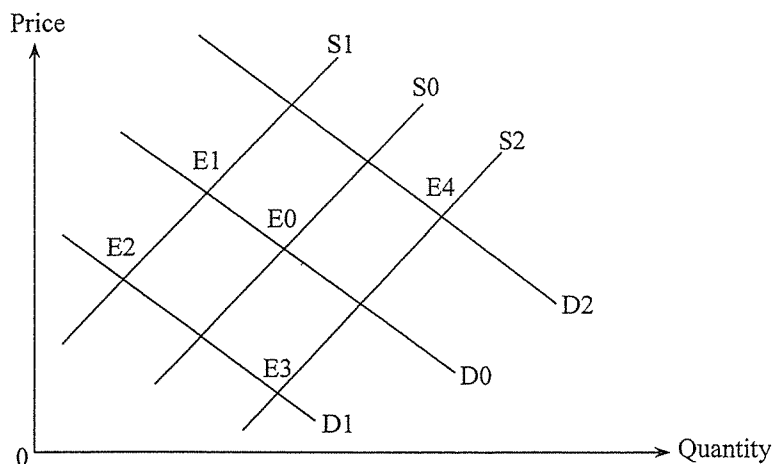


14. On 10th July 2011, the urban taxi fare for the first 2 km was raised from \$18 to \$20. Which of the following statements about the urban taxi service are correct?

- (1) The demand for taxi service dropped.
- (2) The price of long-distance taxi trips relative to short-distance taxi trips dropped.
- (3) The consumer surplus for the taxi service dropped.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

15. The following is the demand-supply diagram of a property market. E0 is the original equilibrium point.



If the government increases the stamp duties levied on property buyers and tightens the controls on dumping of construction waste, the new equilibrium point in the property market will be _____.

- A. E1
- B. E2
- C. E3
- D. E4

Refer to the following demand-supply schedule of good X and answer Questions 16 and 17.

Price (\$)	Quantity demanded (units)	Quantity supplied (units)
10	700	300
11	600	400
12	500	500
13	400	600
14	300	700
15	200	800

16. If the government imposes a per unit tax of \$4 on good X,
- A. the total tax revenue will be \$2 000.
 - B. the total sales revenue will drop by \$1 800.
 - C. the demand for good X is inelastic.
 - D. the total sales revenue of the substitutes of good X will drop.
17. With reference to the above question, the ratio of the consumers' tax burden to the producers' tax burden is _____.
- A. 1:1
 - B. 1:3
 - C. 3:1
 - D. None of the above

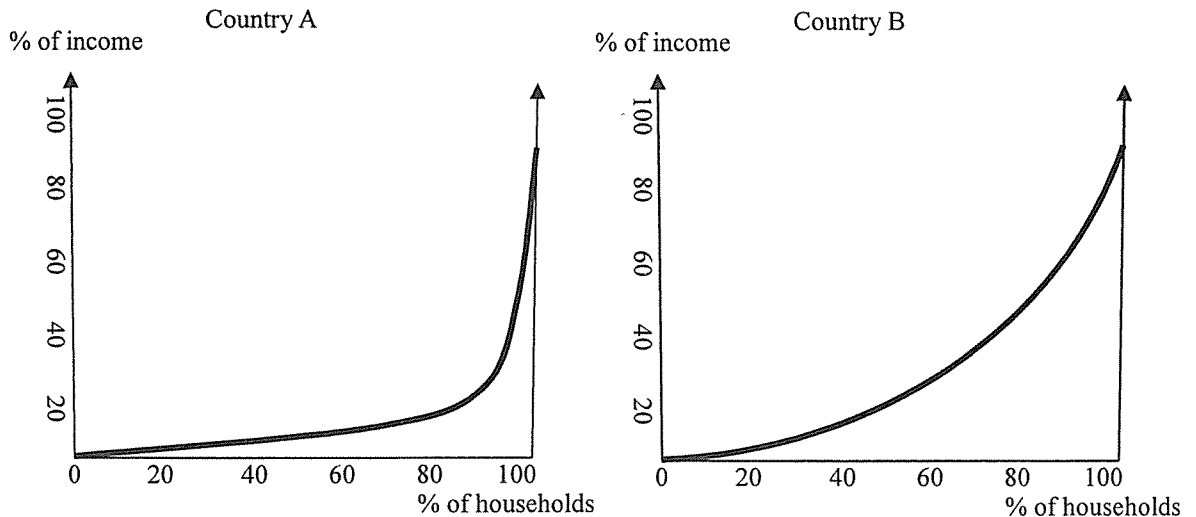
18. If a firm is a monopolist in a market,
- A. its monopoly power may come from the government.
 - B. its return will be positive.
 - C. it faces no competition.
 - D. it bears no risk.

19. The increase of an effective quota on a good will result in

- (1) an increase in the quantity transacted of the good.
- (2) a further improvement in the quality of the good.
- (3) a smaller deadweight loss.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

20. The following diagrams show the Lorenz curves of Country A and Country B:



According to the above two diagrams,

- A. Country B has a higher national income than Country A.
- B. the low income group of Country B has a higher income than that of Country A.
- C. Country A has a more even distribution of income than Country B.
- D. Country A has a larger Gini coefficient than Country B.

21. Which of the following are possible causes of income inequality among individuals?

- (1) difference in race
- (2) difference in capital ownership
- (3) difference in health

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

22. Refer to the following table.

Gross Domestic Product (GDP) Components	\$ million
Private consumption expenditure	200
Net domestic fixed capital formation	40
Increase in inventory	X
Government consumption expenditure	24
Net exports	10
Indirect taxes	60
Subsidies	30
Depreciation	40
Net factor income from abroad	16

If the GDP at factor cost is \$264 million, the value of X is _____.

- A. - 50
- B. -20
- C. 20
- D. 50

23. Country A's general price level increases by 10% and its aggregate output and population drop by 2% and 10% respectively. As a result, Country A's nominal GDP will _____ and the per-capita real GDP will _____.

- A. rise ... rise
- B. rise ... fall
- C. remain unchanged ... rise
- D. remain unchanged ... fall

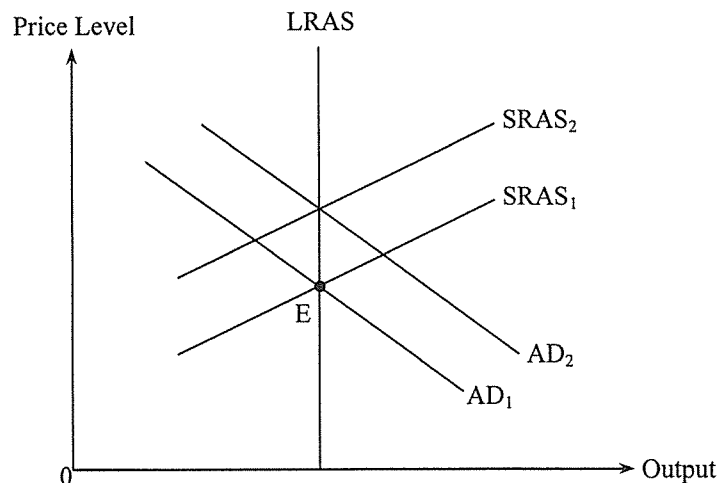
24. Many Hong Kong construction workers stay in Macau to work for several years. If they are attracted by the job opportunities offered by new infrastructure projects in Hong Kong and return to seek jobs, what will be the effect on the unemployment rate in Hong Kong?

- A. The unemployment rate will increase.
- B. The unemployment rate will decrease.
- C. The unemployment rate will remain unchanged.
- D. The effect on the unemployment rate cannot be determined.

25. Which of the following will lead to a decrease in aggregate demand?

- A. a rise in private saving
- B. a rise in investment expenditure
- C. a fall in imports
- D. a fall in the progressivity of income tax

26. The diagram below shows the aggregate demand (AD) curves, the short run aggregate supply (SRAS) curves and the long run aggregate supply (LRAS) curve of a country. Point E is the initial equilibrium point.



When there is an economic recovery in the country's major trading partner, _____ in the short run and _____ in the long run.

- A. AD_1 will shift to AD_2 ... $SRAS_1$ will shift to $SRAS_2$
- B. AD_1 will shift to AD_2 ... AD_2 will shift back to AD_1
- C. $SRAS_1$ will shift to $SRAS_2$... AD_1 will shift to AD_2
- D. $SRAS_1$ will shift to $SRAS_2$... $SRAS_2$ will shift back to $SRAS_1$

27. The table below shows the balance sheet of a banking system.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	400	Deposits	1 000
Loans	600		

Suppose the required reserve ratio for the banking system is 25%. Which of the following statements is correct?

- A. The excess reserves of the banking system are \$200 million.
 - B. The actual banking multiplier of the banking system is 4.
 - C. The banking system can expand its total deposits to \$1 600 million.
 - D. The maximum amount of loans the banking system can make is \$1 000 million.
28. Winnie withdraws HK\$500 000 from her time deposit with a deposit-taking company. Then she deposits HK\$200 000 as a time deposit and HK\$100 000 as a demand deposit with a licensed bank. She keeps \$50 000 in a safe at home and remits the remainder overseas.

What will be the immediate effect of the above actions on the Hong Kong dollar money supply?

- A. M1 will increase by HK\$50 000 and M2 will increase by HK\$350 000.
 - B. M1 will increase by HK\$150 000 and M3 will decrease by HK\$150 000.
 - C. M2 will increase by HK\$150 000 and M3 will decrease by HK\$150 000.
 - D. M2 will increase by HK\$350 000 and M3 will decrease by HK\$500 000.
29. Which of the following is **NOT** a function of the Hong Kong Monetary Authority?
- A. determining the inter-bank offered rate in Hong Kong
 - B. supervising the liquidity position of the private banking institutions
 - C. managing and investing the Exchange Fund
 - D. maintaining the stability of the linked exchange rate
30. On-line shopping has become more popular, and hence people hold less cash for transaction purposes. Which of the following measures can be adopted by a central bank to reduce the effect of the above situation on the interest rate?

- (1) an increase in discount rate
- (2) an increase in required reserve ratio
- (3) an open market purchase of government bonds

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

31. In an open economy, the government expenditure is equal to tax revenue and the value of exports is equal to the value of imports. If there is an increase in private consumption expenditure, the government will have _____ and there will be _____.
- A. a budget deficit ... a trade deficit
 - B. a budget deficit ... a trade surplus
 - C. a budget surplus ... a trade deficit
 - D. a budget surplus ... a trade surplus

32. The US government has accumulated a huge amount of debt, about US\$14 trillion in 2011. If there is unexpected inflation in the US, which of the following parties will most likely gain?
- A. Hong Kong residents holding cash in Hong Kong dollars under the linked exchange rate system
 - B. US citizens holding time deposits
 - C. countries holding a large amount of US government bonds, like China and Japan
 - D. the US government

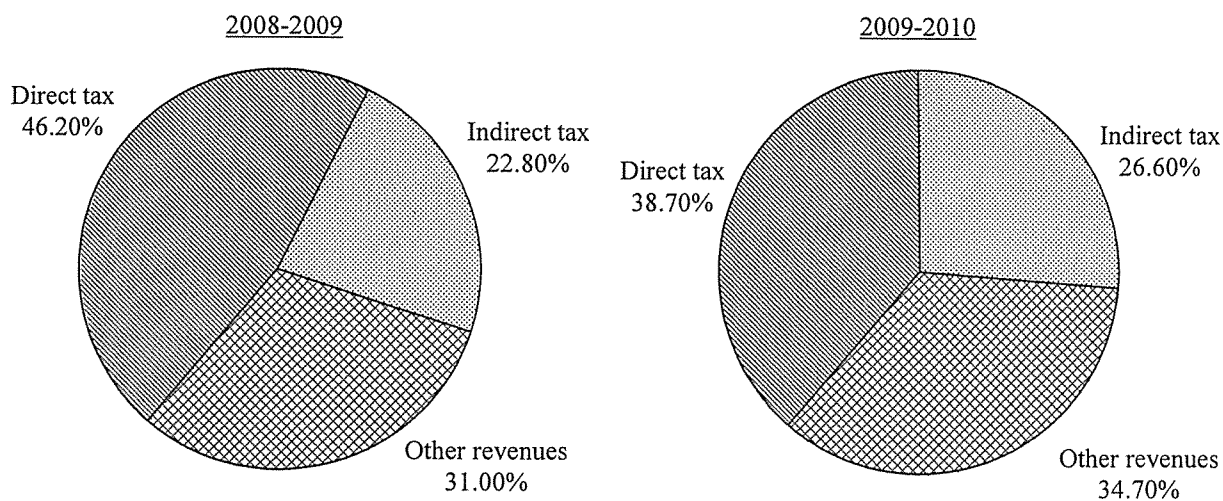
33. Serine has the following incomes:

- (1) rental income from a leased flat
- (2) dividends from a local listed company
- (3) a gratuity (酬金) after completion of contract as a manager
- (4) commission received as an agent

According to the tax system of Hong Kong, which of the above incomes are subject to taxation?

- A. (1) and (3) only
 - B. (2) and (4) only
 - C. (1), (3) and (4) only
 - D. (1), (2), (3) and (4)
34. Suppose the government spends \$3 billion on the construction of a cruise terminal which is financed from its reserves. This will result in
- (1) an increase in aggregate output in the short run.
 - (2) an increase in aggregate output in the long run.
 - (3) an increase in employment in the short run.
 - (4) a budget deficit in the years of construction.
- A. (1) and (3) only
 - B. (2) and (4) only
 - C. (1), (2) and (3) only
 - D. (1), (3) and (4) only

35. The following charts show the composition of the General Revenue Account of Hong Kong in years 2008-2009 and 2009-2010.



Based on the above data, in the year 2009-2010,

- A. there was an economic recession in Hong Kong.
 - B. the ratio of direct taxes to indirect taxes increased.
 - C. the total amount of tax revenue decreased.
 - D. the proportion of tax revenue in total government revenue decreased.
36. Which of the following can offset the effect of a decrease in income tax rate on aggregate demand?
- A. a decrease in the asset demand for money
 - B. a decrease in the desire to import
 - C. an increase in the desire to invest
 - D. an increase in the required reserve ratio

37. The following table shows the number of toys or clothes that Country A and Country B can produce with one unit of resources.

	Toys (units)	Clothes (units)
Country A	10	10
Country B	4	10

If the terms of trade is 2 units of clothes = 1 unit of toys,

- A. Country A will gain 5 units of toys per unit of imports.
 - B. Country A will gain 0.6 units of clothes per unit of exports.
 - C. Country B will gain 0.5 units of clothes per unit of imports.
 - D. Country B will export toys and gain 0.6 units of clothes per unit of exports.
38. Consider the trade of a good between two countries. Suppose we know their opportunity costs of producing the good. Without knowing the terms of trade, we can determine
- (1) the possible range of the terms of trade.
 - (2) the gain of each country from trading one unit of the good.
 - (3) the total gain of both countries from trading one unit of the good.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

39.

Date	Exchange Rate
September 2010	HK\$10 = 1 Euro
July 2011	HK\$11.3 = 1 Euro

The above change in the exchange rate between HK\$ and the Euro will result in

- A. a drop in the number of tourists from Europe to Hong Kong.
 - B. a drop in the price (in terms of HK\$) of imports from Europe.
 - C. a drop in the total value (in terms of the Euro) of imports from Europe.
 - D. a drop in the exchange rate of the US dollar against the Euro.
40. Which of the following is an invisible import in the current account of Hong Kong?
- A. In Beijing, a Hong Kong tourist purchases tickets to visit a local museum.
 - B. A Mainland resident consults a doctor in a hospital in Hong Kong.
 - C. A Mainland billionaire donates money to a university in Hong Kong.
 - D. A Hong Kong manufacturer purchases raw materials from a Mainland firm.

END OF PAPER

ECONOMICS PAPER 2
Question-Answer Book

10.15 am – 12.15 pm (2 hours)
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9 and 11.
- (2) This paper consists of three sections, A, B and C. Answer ALL questions in sections A and B. Attempt any ONE question in section C.
- (3) Write your answers in the spaces provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the 'Time is up' announcement.

Please stick the barcode label here.

Candidate Number



Section A (50 marks)

1. A good which is free-of-charge is a free good. Do you agree? Explain.

(3 marks)

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2. The table below shows the input-output relationship of a firm.

Worker (Units)	Machine (Units)	Total output (Units)
10	1	10
15	2	23
20	3	42
25	4	62
30	5	80

State the law of diminishing marginal returns and explain whether the above data illustrate the law.

(5 marks)

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3. A telecommunication service provider starts a credit company which offers loans to the public.

(a) Explain what type of expansion this is. (2 marks)

(b) List **THREE** possible motives for the above expansion. (3 marks)

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4. According to a report of the United Nations in 2008, the Gini coefficients of Hong Kong and Beijing were 0.53 and 0.22 respectively.

(a) Was the income gap between the rich and the poor in Hong Kong wider or narrower than that in Beijing? (1 mark)

(b) Explain how an increase in the standard tax rate of salaries tax will affect the post-tax Gini coefficient of Hong Kong. (3 marks)

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Answers written in the margins will not be marked.

5. Country A has imposed an effective price ceiling on Good X.

- (a) Suppose Country A eliminates all illegal transactions of Good X. Can this price control ensure all lower income buyers obtain the quantity of Good X they plan to purchase? Explain. (4 marks)
- (b) After the imposition of the price ceiling, many citizens in Country B travel to Country A to purchase Good X. Will the balance of invisible trade of Country A be affected? Explain. (3 marks)
- (c) Suppose the effective price ceiling is lowered. Will the change in price ceiling improve economic efficiency? Explain your answer with the aid of a diagram. (4 marks)

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6. Rising unemployment is one of the phenomena which occurs during economic recession.

- (a) State **TWO** losses to society caused by unemployment. (2 marks)
- (b) Other than rising unemployment, give **TWO** other economic phenomena which would occur during economic recession. (2 marks)

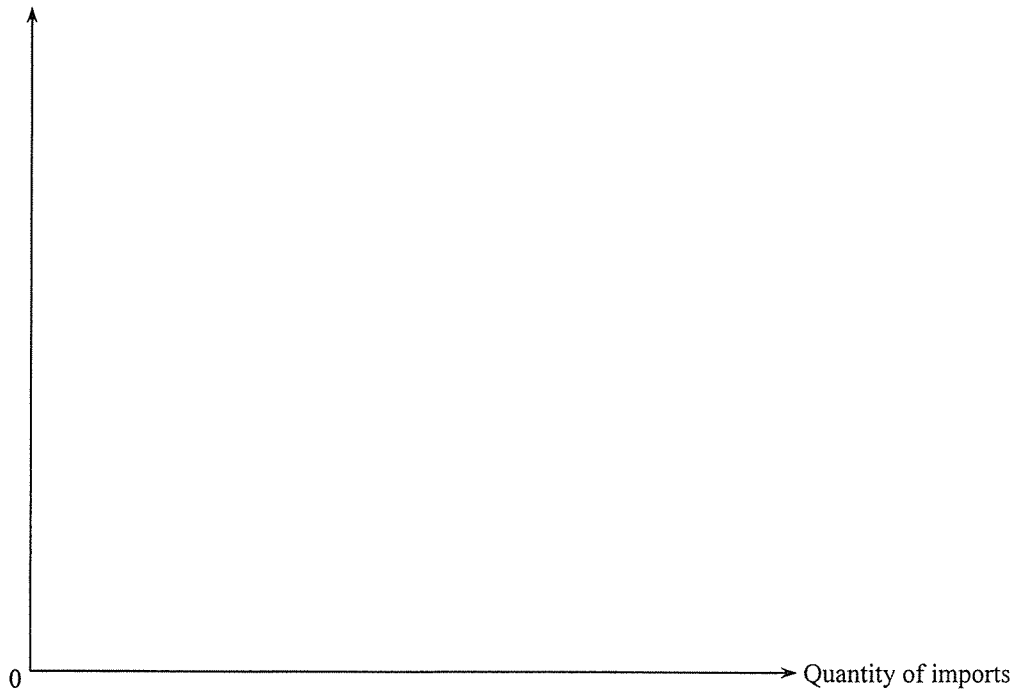
7. “9999 gold is preferred to cigarettes when used as money.” Give **TWO** reasons to explain this argument. (4 marks)

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8. A country's currency depreciates against its trading partners' currencies. Will the depreciation necessarily lower the total import value of this country (in terms of domestic currency)? Explain with the aid of the diagram below. (7 marks)

Price (in terms of domestic currency)



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Answers written in the margins will not be marked.

9. Country A requires 2 working-hours to produce a unit of shirts while Country B requires 1 working-hour. On the other hand, Country A requires 10 working-hours to produce a unit of watches while Country B requires 4 working-hours. Suppose labour is the only resource required for the production of shirts and watches.

- Calculate the opportunity costs of producing 1 unit of shirts (in terms of watches) for Country A and Country B. (2 marks)
- State the principle of comparative advantage. According to this principle, explain which country would export shirts. (3 marks)
- Find the range of terms of trade over which exchange between both countries is mutually beneficial. (2 marks)

END OF SECTION A

2012-DSE-ECON 2-8

In 2012-13 Policy Address, the Chief Executive

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Section B (54 marks)

10. In 2011, the Financial Secretary announced the “Scheme \$6000” which provides \$6000 to each Hong Kong permanent resident who is 18 years old or above.

- (a) Mr. Chan is a retired person and received \$6000 through the scheme in 2011.
- (i) Should this item of payment by the government be included in the calculation of Gross Domestic Product of Hong Kong in 2011? Explain. (2 marks)
- (ii) Mr. Chan considers investing the \$6000 either in shares or bonds issued by a listed company. Explain with **TWO** reasons why bonds could be a better choice than shares for Mr. Chan. (4 marks)
- (b) Do you think that the government should introduce the “Scheme \$6000” to improve equity in the Hong Kong society? Explain. (4 marks)
- (c) With the aid of a diagram, explain how the “Scheme \$6000” would affect the price and output levels of Hong Kong in the long run. (8 marks)

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11. Read the following news extract.

Hong Kong's inflation rate rose to 7.9% last month – the sharpest jump in 16 years – confirming what many families already feared as they struggle to keep up with the runaway cost of food and rent

(a) What is inflation? (2 marks)

(b) Many workers have their salaries increased during inflation. Explain whether the real income of these workers would necessarily rise. (3 marks)

To relieve the effect of inflation on citizens, the government has issued inflation-linked bonds (ibonds) with interest paid to bondholders every six months. The interest rate is positively related to the actual inflation rate of the last half-year period.

(c) What is the opportunity cost of holding cash instead of ibonds? (2 marks)

(d) Explain how ibonds would relieve the effect of inflation on their holders. (2 marks)

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12. The local property market is considered to be overheated.

- (a) Most private housing is constructed by several major property developers in Hong Kong. State the market structure of the private housing market and list **TWO** features of such kind of market structure. (3 marks)
- (b) Chinachem Group is one of the property developers in Hong Kong. Unlike other major developers, Chinachem Group does not list its shares on the stock market. State **TWO** advantages and **TWO** disadvantages of being a private limited company instead of a listed company. (4 marks)
- (c) The government has decided to re-introduce the Home Ownership Scheme in which eligible citizens can purchase a living unit under the scheme at a great discount.
 - (i) With the aid of a demand-supply diagram, explain how the re-introduction of the Home Ownership Scheme would cool down the private housing market. (5 marks)
 - (ii) **WITHOUT** the aid of a diagram, explain how the mortgage interest rate could be adjusted to cool down the private housing market. (3 marks)

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13. The following table shows the balance sheet of the banking system of an economy.

Assets (\$million)		Liabilities (\$million)	
Reserves	500	Deposits	2 000
Loans	1 500		

Suppose the public does not hold cash and there are \$100 million excess reserves in the banking system.

- Find the required reserve ratio. Show your working. (2 marks)
- Find the maximum possible amount of deposits if the banks are fully loaned up. Show your working. (2 marks)
- The central bank injects \$200 million newly-printed banknotes into the banking system. If the banks lend out all of their excess reserves, what will the amount of money supply be in the economy? Show your working. (4 marks)
- Based on the quantity theory of money, predict the effect of the monetary policy in (c) on the price level. State the assumption(s) needed to reach your conclusion. (4 marks)

Answers written in the margins will not be marked.

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END OF SECTION B

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- What kind of anti-competitive business practice is described in each of the above practices? State whether each of the above practices constitutes horizontal agreement or vertical agreement.

-
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Answers written in the margins will not be marked.

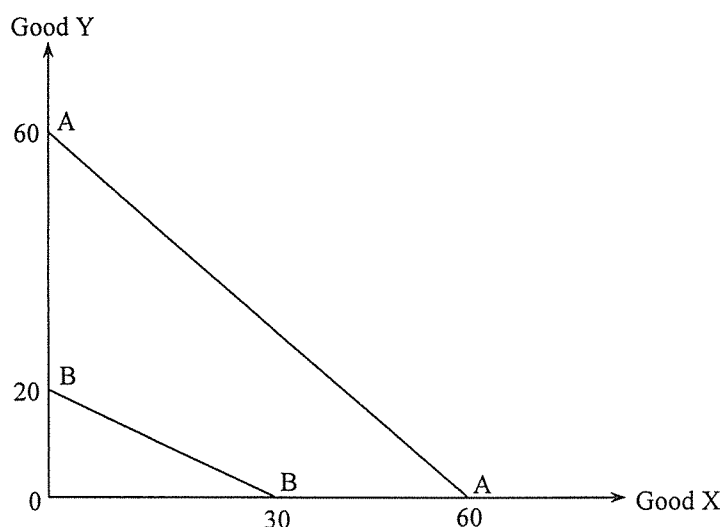
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15. In the diagram below, AA and BB are the production-possibility frontiers of Country A and Country B respectively.



- (a) (i) Which country has a comparative advantage in producing Good X? Explain.
- (ii) Is mutually beneficial trade possible between these two countries? Explain. (4 marks)
- (b) If the terms of trade is 10 units of X in exchange for 8 units of Y, what will be the gain from trade per unit of X traded for each country? (4 marks)
- (c) Explain whether your answer in (a)(i) would change in the following situations:
- (i) Country B finds new resources that raise the output of both Good X and Good Y by the same proportion. (4 marks)
- (ii) Country B discovers a new technology that improves the production method of Good Y. (4 marks)
- (d) The Human Development Index (HDI) of Country B increases after trade.
- (i) What does HDI measure?
- (ii) Suggest **ONE** possible reason for such an increase. (4 marks)

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Answers written in the margins will not be marked.

Supplementary Answer Sheet

Question No. _____

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Marking Schemes

Paper 1

Question No.	Key	Question No.	Key
1.	D(67)	21.	D(64)
2.	A(62)	22.	B(61)
3.	D(90)	23.	A(53)
4.	B(72)	24.	D(53)
5.	C(70)	25.	A(72)
6.	C(86)	26.	A(73)
7.	A(76)	27.	C(71)
8.	B(77)	28.	B(69)
9.	B(39)	29.	A(64)
10.	D(38)	30.	A(51)
11.	C(45)	31.	C(40)
12.	B(61)	32.	D(68)
13.	D(78)	33.	C(56)
14.	C(64)	34.	C(51)
15.	B(80)	35.	D(69)
16.	B(66)	36.	D(52)
17.	A(60)	37.	C(65)
18.	A(75)	38.	B(47)
19.	B(56)	39.	C(37)
20.	D(82)	40.	A(52)

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

Paper 2

These documents were prepared for markers' reference. They should not be regarded as sets of model answers. Candidates and teachers who were not involved in the marking process are advised to interpret their contents with care.

The answers provided in the marking scheme are for reference only. They are not the only possible answers. Alternative answers are acceptable so long as they are well reasoned.

The examination emphasises the testing of the understanding of economic theories and the application of the knowledge of economic analysis to practical problems. Candidates are advised to study this document in conjunction with the examiner's comments on candidates' performance in this booklet.

For essay-type questions, candidates are expected to demonstrate an understanding of the question, an ability to deploy relevant knowledge of the subject in response to the questions, and to present their answers logically and coherently.

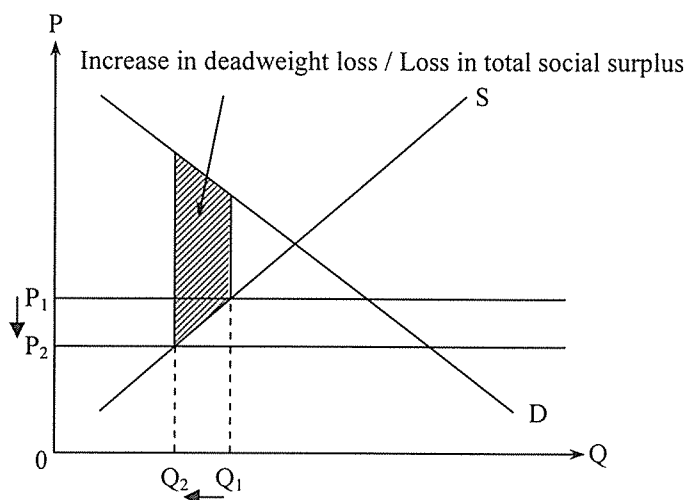
The following symbols are used:

- / A single slash indicates an acceptable alternative within an answer.
- @ The number in front of the symbol indicates the marks for each point.
- max Maximum mark for the question/sub-question

Section A

- | | Marks |
|---|--------------|
| 1. No, because | (1) |
| the good may be produced from scarce resource which have alternative uses./ more of the good may still be preferred. | (2) |
|
2. The law states that (holding technology constant,) when more units of a variable factor are added successively to a given quantity of fixed factors, the marginal product of this factor will eventually diminish. |
(3) |
| No, because | (1) |
| all factors are variable. | (1) |
|
3. (a) Conglomerate expansion, because |
(1) |
| the firm has expanded into unrelated industries. | (1) |
| (b) <u>Possible motives:</u> | |
| – to have product / income diversification so as to spread risk | |
| – to make use of its brand name of one product in other products | |
| – to use resources more efficiently as the two companies can share some of their resources | |
| – to enjoy economies of scale (e.g. Lower average cost of advertising as the total cost can be spread over a larger quantity of output.) | |
| – any other relevant point | |
| [Mark the FIRST THREE points only.] | |
- }
- @ 1;
max: 3

- | | Marks |
|---|--------------|
| 4. (a) wider | (1) |
| (b) Lower, because
higher income group has a lower post-tax income while the income of lower income group remains unchanged. | (1)
(2) |
| 5. (a) No, because | (1) |
| – there is excess demand / shortage. | (1) |
| – other competitive criteria/non-price competition, such as queuing, will emerge. | (2) |
| – the new competitive criteria do not necessarily depend on income. | (2) |
| | } max: 3 |
| (b) Yes, because | (1) |
| transportation and other tourist-related expenses, which are regarded as export of service, increases so the invisible trade account increases. | (2) |
| (c) No, because | (1) |
| there is greater deadweight loss. / total social surplus decreases. | (1) |
| <u>Indicate in the diagram:</u> | |
| – lowering of the price ceiling | (1) |
| – correct position of increase in deadweight loss/loss in total social surplus | (1) |



- | | |
|--|------------------|
| 6. (a) – Loss of output
– Loss of human capital
– Political unrest
– any other relevant point
[Mark the FIRST TWO points only.] | } @ 1;
max: 2 |
| (b) – Falling or even negative real GDP growth
– Low / falling inflation or even deflation
– Falling business confidence, levels of investment, consumption
– any other relevant point
[Mark the FIRST TWO points only.] | } @ 1;
max: 2 |

Marks

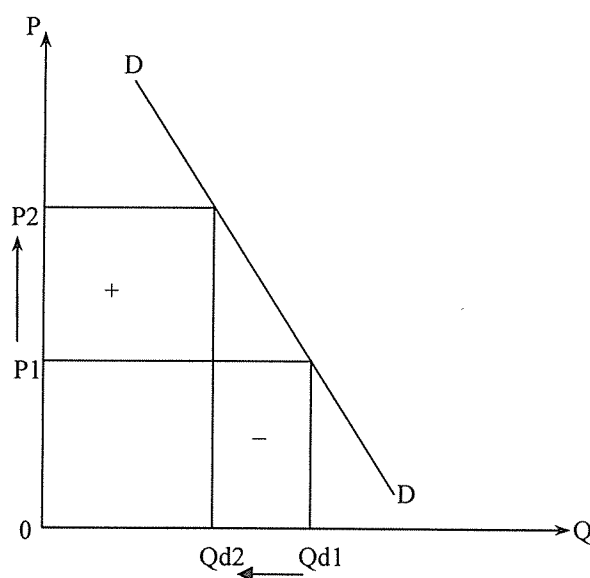
7. – Gold is more durable while cigarettes may lose their value during transaction.
 – Gold is more generally accepted as medium of exchange than cigarettes.
 – Gold is more homogenous while cigarettes have different qualities.
 – any other relevant point
 [Mark the FIRST TWO points only.]

} @ 2;
 max: 4

8. No, because (1)
 if the demand for import is inelastic, the import value will not decrease (1)
 as the percentage increase in price will be greater than percentage decrease in quantity demanded. (2)

Indicate in the diagram:

- $P \uparrow, Q_d \downarrow$ (1)
 – gain in import value > loss in import value (2)



9. (a) In country A, opportunity cost of producing 1S = 0.2W (1)
 In country B, opportunity cost of producing 1S = 0.25W (1)
 (b) If each country specializes in producing the good in which the country has a lower opportunity cost, the total output will increase. (2)
 Country A would export shirts. (1)
 (c) $0.2W < 1S < 0.25W$ OR $4S < 1W < 5S$ (2)

Section B

Marks

10. (a) (i) No, because
there is no corresponding production.

(1)
(1)

- (ii) – He can get interest return even if the company does not make any profit that year.
– Higher priority of getting paid than shareholders if the company is liquidated.
– any other relevant point
[Mark the FIRST TWO points only.]

} @ 2;
max: 4

- (b) – Equity is a subjective concept that involves value judgments. / Different people use different standards of equity.
– Yes, because the \$6 000 results in a higher percentage increase in income of the poor.
– No, as it does not help equalize opportunities. Relative to the rich, the poor do not get more resources to improve their productivity / increase future income.
– No, as it is not equalizing outcome as not everyone can benefit from the scheme, e.g. non-permanent residents and residents who are below 18 years old are not eligible for the \$6 000.
– any other relevant point

(1)
(2)
(2)
(2)
(2)
} max: 4

(c) Verbal Elaboration:

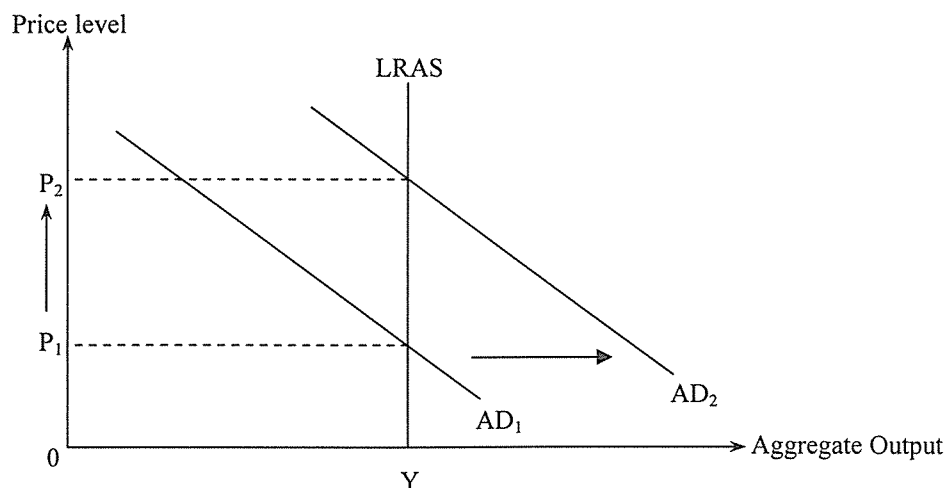
- Disposable income increases.
– Consumption expenditure increases.
– Aggregate demand increases.
– Price level increases.
– Aggregate output unchanged in the long run.

(1)
(1)
(1)
(1)
(1)

Indicate in the diagram:

- AD shifts out
– Vertical LRAS
– P increases and Y unchanged

(1)
(1)
(1)



	Marks
11. (a) Persistent increase in the general price level	(2)
(b) No, because the real income of workers would fall if the percentage increase in price level is greater than the percentage increase in nominal wage.	(1) (2)
(c) The opportunity cost is the nominal return of the ibonds.	(2)
(d) The ibonds help preserve the purchasing power of the invested sum of money because the interest return of ibonds will increase at the same rate as actual inflation.	(2)
12. (a) Oligopoly	(1)
– a few dominating firms – price searcher – interdependence of pricing policies – product can be heterogeneous – non-price competition – not easy to enter the industry – imperfect information – any other relevant point [Mark the FIRST TWO points only.]	} @ 1; max: 2
(b) Advantages:	
– tighter control of ownership / more difficult to be taken over – no need to disclose the accounting information to public – any other relevant point [Mark the FIRST TWO points only.]	} @ 1; max: 2
Disadvantages:	
– cannot issue shares to general public to raise capital – difficult to transfer its ownership – any other relevant point [Mark the FIRST TWO points only.]	} @ 1; max: 2

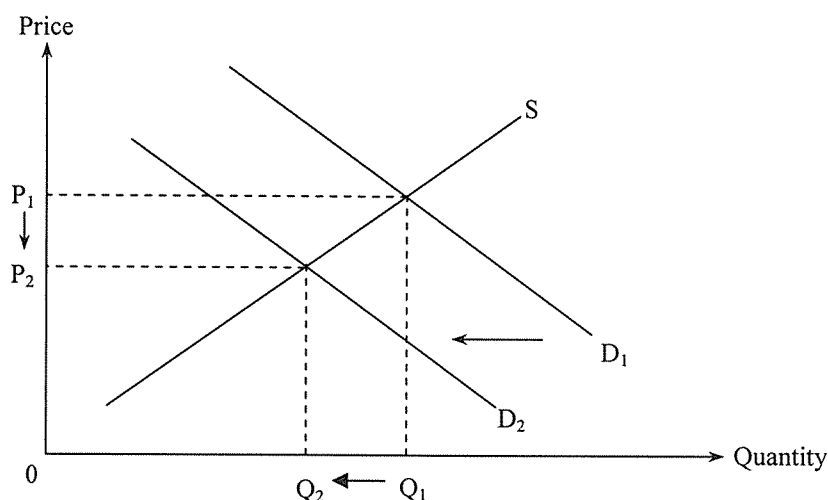
Marks

(c) (i) Verbal Elaboration:

- Living units under HOS and private housing are substitutes. (1)
- Bigger supply of public housing (living units under HOS) would result in a drop in demand for private housing. (1)
- Price of private housing drops. (1)

Indicate in the diagram:

- D shifts to the left (1)
- Lower P (1)



- (ii) A rise in the mortgage interest rate could cool down the property market because some people fail or are unwilling to borrow at a higher interest rate. The demand for private housing drops. (1)

13. (a) Required reserve ratio = $(\$500 \text{ million} - \$100 \text{ million}) / \$2\,000 \text{ million}$ = 20% (1)

(b) Maximum possible amount of deposits = $\$500 \text{ million} \times \frac{1}{0.2}$ = \$2 500 million (1)

(c) Deposit = $\$700 \text{ million} \times \frac{1}{0.2}$ = \$3 500 million (2)
 Cash in public circulation = 0 (1)
 Money supply = Deposit + Cash in public circulation = \$3 500 million (1)

(d) - QTM: $MV = PY$, where M = money stock, V = velocity of circulation of money, P = general price level and Y = real output, assuming V constant. (2)
 - An increase in M leads to an increase in P when Y increases by a smaller proportion. (2)

OR

- An increase in M leads to an increase in P by the same percentage when Y is constant. (2)

} max: 2

Section C

- | | Marks |
|--|----------------------------|
| 14. (a) Price discrimination is a kind of pricing behaviour by which different prices are charged on different customers for the same goods for reasons unrelated to difference in costs. | (2) |
| (b) – The seller needs to be a price searcher.
– The markets are separable. / Resale of goods and services between markets is difficult or very costly.
– Customers in different markets have different elasticities of demand.
– Customers in different markets have different information costs.
– any other relevant point
[Mark the FIRST TWO points only.] | { @ 1;
max: 2 |
| (c) (i) No, because
– the practice of lowering the price of the same item during a promotional period applies to all customers.
OR
– the sellers make no attempt to separate customers. / the market is not separated. | (1)
(2) { max: 2
(2) |
| (ii) Yes, because
– the costs of serving customers with or without discount coupons are the same.
OR
– customers with discount coupons are the ones who are more sensitive to price changes and hence higher price elasticity. Therefore, they are charged a lower price. | (1)
(2) { max: 2
(2) |
| (d) (1) Price fixing: horizontal agreement | (1+1) |
| (2) Exclusive dealing: vertical agreement | (1+1) |
| (e) – higher price
– lower output
– lack of choices to consumers
– loss in consumer surplus
– market competition restricted
– any other relevant point
[Mark the FIRST TWO points only.] | { @ 1;
max: 2 |

	Marks
15. (a) (i) In country A, the opportunity cost of producing 1X = 1Y while in country B, the opportunity cost of producing 1X = 0.667Y. Country B has a lower opportunity cost in producing good X, therefore Country B has a comparative advantage in producing good X.	(1) (1)
(ii) Yes, because their costs of producing goods X and Y are different.	(1) (1)
(b) Country A will gain $(1Y - 0.8Y =) 0.2Y$ and Country B will gain $(0.8Y - 0.667Y =) 0.133Y$ per unit of X traded respectively.	(2) (2)
(c) (i) No, because country B will still enjoy a CA in producing good X as country A's and B's opportunity cost of production does not change.	(1) (1)
(ii) Uncertain, because country B may no longer enjoy a CA in producing good X if the maximum possible level of production of Y exceeds 30 units.	(1) (1)
(d) (i) HDI measures the level of economic and social development of a country in 3 dimensions: health (measured by life expectancy at birth), education (measured by mean years of schooling and expected years of schooling) and living standard (measured by Gross National Income per capita).	(2)
(ii) – More production, business activities and employment opportunities in the import/export industry lead to higher per capita GDP. – Foreign health product or technology imported lead to better health. – any other relevant point [Mark the FIRST ONE point only.]	} @ 2; max: 2

Candidates' Performance

Paper 1

Candidates' performance on this paper was generally good, although there was still room for improvement. The mean score of this paper is 25 out of 40 questions. The following questions deserve special attention.

Q.9 Refer to the following table showing the production costs of a price-taking firm.

Total output (units)	2	3	4	5	6
Marginal cost (\$)	4	6	8	10	12
Average variable cost (\$)	3	4	5	6	7
Fixed cost (\$)	1	1	1	1	1

If the product price is \$6,

- A. the firm will produce 5 units of output to maximize its profit. (16%)
- *B. the maximum profit the firm can make is \$5. (39%)
- C. the average variable cost is \$5 when the firm maximizes its profit. (22%)
- D. the minimum total cost of the firm is \$13. (23%)

Candidates should improve their ability of analysing cost schedules and calculating the profit-maximizing output and the resulting profit.

Q.10 Refer to the table below.

	Factory A	Factory B
Number of workers employed	60	10
Total number of working hours	2 000	5 000
Total output (units)	12 000	20 000

Which of the following is a possible reason for the difference between the labour productivity of Factory A and Factory B?

- A. Factory B provides more training for its workers. (22%)
- B. More machines are used in Factory B. (28%)
- C. The working environment in Factory A is poorer. (12%)
- *D. Factory A pays its workers at piece rate while Factory B pays at time rate. (38%)

Many candidates were not able to realize that the total number of working hours, not the number of workers employed, should be considered when the average labour productivity is calculated.

Q.31 In an open economy, the government expenditure is equal to tax revenue and the value of exports is equal to the value of imports. If there is an increase in private consumption expenditure, the government will have _____ and there will be _____.

- A. a budget deficit ... a trade deficit (17%)
- B. a budget deficit ... a trade surplus (10%)
- *C. a budget surplus ... a trade deficit (40%)
- D. a budget surplus ... a trade surplus (33%)

This is a question which tests the effect of an exogenous change in a component of aggregate demand on the government and external accounts. Candidates should integrate the theory of national income determination with their knowledge of government budget and balance of trade when attempting this kind of questions. A change in aggregate output will result in a change in tax revenue and value of imports, while the government expenditure and value of exports do not directly depend on aggregate output.

Q.39

Date	Exchange Rate
September 2010	HK\$10 = 1 Euro
July 2011	HK\$11.3 = 1 Euro

The above change in the exchange rate between HK\$ and the Euro will result in

- A. a drop in the number of tourists from Europe to Hong Kong. (4%)
- B. a drop in the price (in terms of HK\$) of imports from Europe. (8%)
- *C. a drop in the total value (in terms of the Euro) of imports from Europe. (37%)
- D. a drop in the exchange rate of the US dollar against the Euro. (51%)

Many candidates failed to recognise that the appreciation of the Euro against USD will result in an appreciation of the Euro against HKD but the reverse will not be correct. A better understanding of the linked exchange rate system is needed.

Paper 2

Section A

Q. number	Performance in General
1	Excellent. Most candidates were able to give good reasons, with some citing relevant real-life examples to support their answers.
2	Excellent. Most candidates were able to give an accurate definition of the law of diminishing marginal product, and to point out that there is no fixed factor in the case provided.
3(a) & 3(b)	Good. While most candidates were able to identify the type of expansion, some of them misspelt the key terms. Some mistook conglomerate expansion for expansion to different stages of production. Most candidates showed a good understanding of the motives behind such expansion. Common mistakes included confusion between spreading risk and reducing risk, and wrong argument about enlargement of market share.
4(a)	Excellent.
4(b)	Poor. Many candidates did not realize an increase in the standard tax rate has no effect on the poor as the tax only applies to the high-income group. Some provided a comparison between the rich and the poor of their tax payments as percentage of their incomes, which was irrelevant to this question.

Q. number	Performance in General
5(a)	Fair. Though a majority of candidates correctly pointed out that the price control cannot ensure that the lower-income group will get what they plan to purchase, the reasons given were not well-explained. Many mentioned shortage but failed to relate the details of the case to non-price competition. Some did not understand that 'no illegal transaction' means 'no black market'.
5(b)	Satisfactory. Many candidates were able to identify tourist-related expenses as an export of services. Some used 'balance of invisible trade' and 'invisible trade' interchangeably, which resulted in confusing answers. Some mistook purchase of local goods by tourists for export of goods.
5(c)	Poor. Some candidates misinterpreted lowering the price ceiling as a relaxation of price control and the resulting increase in price, thus yielding an incorrect analysis. Among those who understood the gist of the question, some failed to correctly indicate the deadweight loss graphically.
6(a)	Good. A small number of candidates mistook an increase in welfare payments (e.g., unemployment benefits) or an increase in government burden for a loss to society.
6(b)	Excellent.
7	Fair. Some failed to elaborate on why gold is a good form of money by making reference to the functions of money.
8	Poor. Most candidates made one of the following mistakes: – failed to state their stance clearly; – missed the key word 'necessarily'; – mistook depreciation for a drop in the price of imports; – confused the decrease in price resulting from a movement along the demand curve with that from a reduction in demand.
9(a)	Good. A minority of candidates misinterpreted the given data as output per work-hour. Some forgot to specify the unit of watches.
9(b)	Fair. Although almost all candidates were able to explain which country would export shirts, many of them failed to state the principle of comparative advantage precisely.
9(c)	Poor. Some candidates were not able to specify the units correctly. Some others incorrectly included the domestic opportunity costs in the range or confused the symbols $>$ and $<$.

Section B

Q. number	Performance in General
10(a)(i)	Excellent. A small number of candidates wrongly regarded transfer payments as part of government expenditure and thus included them in the calculation of GDP.
10(a)(ii)	Good. Some candidates failed to realize the difference in the returns between shares and bonds.
10(b)	Poor. Some candidates showed an inadequate understanding of the two concepts of equity. Some others missed the key words 'to improve equity', thus providing irrelevant discussion or wrongly focusing their discussion on the disincentive effects of transfer payments in general.

Q. number	Performance in General
10(c)	Satisfactory. Many candidates were able to predict the change in price and output levels using the AS-AD model. Some failed to explain that the increase in AD is due to the increase in consumption as a result of higher disposable income, while some others forgot to label P as the price level. A small number of candidates confused the (macro) AS-AD model with (the micro) supply-and-demand analysis in their verbal explanation and/or graphical analysis.
11(a)	Good. The only common mistake was stating their answers in terms of 'price' rather than the 'general price level'.
11(b)	Satisfactory. Some candidates missed the key word 'necessarily'. Some others failed to recognize the difference between a change in the general price level and a change in the inflation rate, thus giving a wrong comparison between the percentage increase in nominal income and the percentage increase in the inflation rate.
11(c)	Fair. Many candidates could relate the cost of holding cash to the return of ibonds, but they were unable to point out precisely that the cost is the 'nominal' interest return. Some used interest and interest rate interchangeably, creating confusion in their answers.
11(d)	Fair. Some candidates failed to use purchasing power and real values to explain the effect of ibonds. Other common mistakes included overlooking the positive relationship between inflation and the interest return of ibonds and failure to address the question from the perspective of ibond-holders.
12(a)	Excellent. A minority of candidates misspelt the term 'oligopoly', while some imprecisely stated that there are only a few sellers in the market of oligopoly.
12(b)	Good. Many candidates were able to compare the features of the two types of limited companies and to state the pros and cons. Some gave vague statements like listed companies have to provide information for the public, and failed to specify the requirement to release accounting/financial information to the public. Some did not state whether the point given is an advantage or disadvantage of being a private limited company.
12(c)(i)	Satisfactory. Some candidates interpreted the overheating as an initial excess-demand situation. Instead of considering the market for private housing, some wrongly analyzed the market for public housing or the entire (i.e., private plus public) housing market. Labeling of the demand-supply diagram was sometimes incomplete or inaccurate, and a small number of candidates confused the demand-supply diagram with an AS-AD diagram.
12(c)(ii)	Fair. Many candidates failed to indicate whether the mortgage interest rate should increase or decrease. Some misinterpreted the mortgage interest rate as a newly introduced market interest rate or as a tax on mortgage. Some mixed up the cost of buying private housing with the cost of borrowing.
13(a)	Excellent.
13(b)	Good. The most common mistake was the careless missing of units. A minority of candidates failed to provide steps in their calculation. Some mistook the maximum possible amount of deposits for $\$(2\,000\text{ million} \times 1/20\%)$.
13(c)	Fair. Many candidates did not calculate the excess reserves before using the maximum credit-creation formula, resulting in a wrong calculation.
13(d)	Good. Most candidates were able to point out that an increase in money supply will lead to an increase in the price level, but failed to compare their percentage changes. Some put forth assumptions such as 'no excess reserves' and 'no cash leakage', which were irrelevant to the question. Some mistook the quantity theory of money for the $MV=PY$ equation itself.

Section C

Q. number	Popularity	Performance in General
14(a)	62%	Good. A small number of candidates failed to mention the sale of the same good produced at the same cost in the definition.
14(b)		Satisfactory. Some candidates were not familiar with the conditions for price discrimination.
14(c)(i)(ii)		Fair. Some candidates had difficulty in explaining their stance: why such a case would constitute price discrimination.
14(d)(1)(2)		Good. Many candidates were able to correctly state the kind of anti-competitive behaviour and to correctly judge whether it was a horizontal or vertical agreement.
14(e)		Good. Most candidates showed a good understanding of the potential harms to consumers of the anti-competitive behaviour.
15(a)(i)(ii)	38%	Good. Many candidates were able to make reference to the given diagram to state the comparative advantage and the possibility of mutually beneficial trade.
15(b)		Satisfactory. Some candidates were not aware that the gain should be a per-unit gain, thus yielding incorrect answers.
15(c)(i)(ii)		Fair. Many candidates failed to state their stance clearly. Some failed to use figures to justify their arguments.
15(d)(i)(ii)		Fair. Many candidates showed a good understanding of the Human Development Index. Some candidates missed the key words 'after trade' and thus gave examples of improving HDI in a general context.

General comments and recommendations

1. Some candidates lack a thorough understanding of basic economic concepts and principles, especially when applying them to hypothetical situations and real-life situations. Candidates should have a thorough understanding of basic definitions and concepts and be able to use them to solve problems. They should also strengthen their analytical skill instead of simply regurgitating concepts and theories learnt.
2. Some candidates do not always read the questions carefully. Candidates should devote special attention to assumptions and conditions laid down in the questions to avoid giving incorrect answers.
3. Some candidates have difficulty in presenting their answers in a precise way. Candidates should equip themselves with better language ability as well as graphical skills.
4. Some candidates lack awareness of current economic issues in daily life. Candidates should pay more attention to economic news.

Acknowledgements

Material from the following publications/web-sites has been used in question papers in this volume:

Census and statistics
department

Statistical Table

http://www.censtatd.gov.hk/hong_kong_statistics/statistical_tables/index.jsp?subjectID=9&tableID=193

City Mayors

Western Europe has the most egalitarian cities in the world

Tann vom Hove, 19 November 2008

<http://www.citymayors.com/habitat/habitat08-equality.html>

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